

The complaint

Mr T is unhappy that a home insurance claim he made was classified as flood by The National Farmers' Union Mutual Insurance Society Limited (NFUM), leading to a steep rise in his premiums.

What happened

In August 2019 after particularly heavy rain Mr T noticed that the carpet in the corner of his sitting room was soaked. He made a claim to NFUM who sent out a loss adjuster to inspect. The loss adjuster determined that the claim would be accepted as flood damage and a payment for the carpet was agreed at around £1,100.

In March 2020 Mr T received notice of his renewal premium and was shocked to see that it had almost doubled. He raised it with NFUM who was prepared to reduce his premium by a small amount. But it said that the claim had been accepted as flood. This meant there was an increased flood risk and the policy had been ceded to 'Flood Re'. This essentially meant that the Flood Re scheme would cover the flood risk part of the policy and the premium had to be adjusted to allow for the premium set by Flood Re. NFUM wasn't prepared to offer a policy without flood cover.

Mr T asked why he had been allowed to proceed with the claim when it should have been known that this would lead to a large increase in premium, he was prepared to accept the loss of part of the no claims discount (NCD). Further he thought the claim should have been classified as storm damage. NFUM clarified that it regarded the damage as flood as the water came up from the ground and the drains overflowed.

Mr T decided to renew in any event but still challenged the amount of the premium and classification of the claim.

I issued a provisional decision. In it I said that I thought it was fair to consider whether the claim could be more fairly classified as a storm claim. And on reviewing the evidence for this I thought it was fair to say that storm was the main cause of the damage.

Mr T doesn't have any further comments to make.

NFUM disagreed with my decision. It said that having forwarded the matter to an Underwriting Senior Technician it can really once more say that if the loss adjuster report confirms the drains backed up then under the definition below it's of the opinion this is a flood claim:

"Flood means water entering the property at ground level irrespective of whether this has escaped from a river, stream or reservoir, excessive run-off which exceeds the normal drainage capacity, or inundation from the sea."

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and

reasonable in the circumstances of this complaint.

The following were my provisional findings:

"First of all I don't doubt that NFUM has applied its correct procedure regarding the pricing of the policy, assuming that this was a flood claim. Its underwriting guidelines set out that the criteria for ceding a policy to Flood Re is that there has to be a flood claim. I should also add that consumers generally are aware that making a claim will lead to higher premiums. I don't think the possibility that any particular claim might lead to a much higher premium needs to be set out in the policy, mainly because any number of factors can apply. The notice of renewal gave Mr T three weeks' notice, which I think is reasonable, in which time he could have decided either to renew with NFUM or to buy a policy elsewhere.

But I think the correct approach in this case is to consider what the claim was for and whether it was covered under the flood or the storm term in the policy. Where both could apply it's reasonable to consider what was the main cause.

storm/flood

When we consider storm damage we ask three questions, and it is only if the answer to each of those questions is "yes" that we would be likely to uphold the complaint. The questions are:

- On the balance of evidence, do we agree that storm conditions occurred on or around the date the damage is said to have happened?*
- Is the damage claimed for consistent with what we generally see as storm damage?*
- Were storm conditions the main cause of the damage?*

was there a storm?

For a claim to come under the storm cover in the policy there has to be a one-off incident of storm that caused the damage. There's no definition of storm in the policy but we generally consider a storm to be characterised by violent winds, usually accompanied by rain, hail or snow. Rain alone without violent winds won't usually constitute a storm unless it is of exceptional intensity.

I have checked the weather records for the day the claim arose. Whilst the windspeed was low (up to 20mph) the records do show rainfall of up to 15.4mm per hour on the day in question, and I would say that was of exceptional intensity. So I think there was a storm.

was the damage consistent with storm damage?

The damage here was the soaking of part of a carpet which given the amount of rainfall was entirely consistent with storm damage.

were storm conditions the main cause of the damage?

It is for Mr T to show that storm conditions caused the damage. Having established that there was heavy rain on the day I have to consider how the water got in. Mr T says the water likely overflowed the gutters. When the loss adjuster visited, some 9 days later they said, "From our inspection of the damage and deliberations with the insured, we are satisfied the 'Flood' peril has been engaged on this occasion." They gave no further details apart from to say to the claims handler that the water likely came up from the drain. No inspection of the drain was recorded, nor was there (as far as I can see) any inspection of the gutter. But I would say that where there was rainfall of sufficient intensity to constitute a storm, then

storm was a cause of the damage. I have to consider whether it was the main cause, the other possible cause being flood.

For a claim to come under flood, and again there's no definition of this in the policy, there has to be an accumulation of water, not necessarily suddenly. But I would say there has to be at least a standing accumulation (a body) of water. In NFUM's underwriting manual flood is described as

"..water from any source external to a building which enters a building:

(a) at or below ground level, or above ground level, provided part of the body of such water is at ground level;; and

(b) does so with volume, weight or force which is substantial and abnormal."

The problem in this case is that, as there was no accumulation of water to see at the time of the loss adjuster's visit, we don't know whether there was a flood as such or the carpet soaked up the water which came through.

I have to decide what is fair and reasonable. It's most likely in my view that the damage was caused by a storm, with flood being a possible cause arising from that. But given the drastic alteration to the risk that comes from classifying it as a flood and given that it's likely the damage was caused by a storm, in my view it's fair to say that the storm was the main cause of the damage."

NFUM has referred to its loss adjuster's report. And I've quoted the finding from that report in my provisional findings above. The report didn't set out what inspections were carried out or how the conclusion was drawn that there was a flood. It also didn't address the likelihood of there being storm damage. And I've taken into account that the visit came nine days after the damage occurred. And I'm well aware that a flood can come from any source of water. I'm satisfied by my provisional findings that the likely main cause of the damage to the carpet was storm. My provisional findings are now final and form part of this final decision.

Putting things right

Given my finding, NFUM should classify the damage as storm damage and change Mr T's record to reflect that. It should also amend the record on any external database. Following on from that it should reassess and rewrite the 2020/2021 cover in light of that, refunding the excess premium (if any), and withdraw the policy from the Flood Re scheme. It should also add simple interest* at 8% per year on any refund from the date or dates any premium instalments were paid until it repays Mr T.

*NFUM is required by HM Revenue and Customs to deduct tax from any interest paid. Should Mr T request it, NFUM should provide him with a certificate showing how much tax has been taken off so that, if appropriate, he can reclaim it.

My final decision

I require The National Farmers' Union Mutual Insurance Society Limited to act in accordance with what I have set out under "*Putting things right*" above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr T to accept or reject my decision before 23 February 2021.

Ray Lawley
Ombudsman